

Business Requirements Document (BRD)

Project: Core Banking System – Kongu Co-operative Bank (KCB - CBS)

Prepared By: Karthick E

Date: December 2025

Version: 1.0

1. Executive Summary:

Kongu Co-operative Bank is undertaking a digital transformation by implementing a centralized Core Banking System (CBS) to streamline operations across all its branches. The new system will enable customers to access essential banking services—including account management, loan applications, and fund transfers—through a secure web-based interface. Internally, it will empower branch managers and loan officers with real-time access, efficient workflow handling, and improved compliance tracking. This initiative aims to enhance customer satisfaction, reduce manual processing delays, and establish a scalable, future-ready banking environment.

2. Project Background and Business Drivers:

2.1 Project Background:

Kongu Co-operative Bank (KCB) was founded in **1910** by a group of farmers and small textile merchants in Tamil Nadu to address common financial challenges such as delayed loan approvals, high-interest informal borrowing, and limited access to credit for small businesses and women. KCB is one of the earliest cooperative banks in the region, operating across the Kongu belt—including Coimbatore, Tirupur, Erode, and Salem.

The bank is **registered under the Co-operative Societies Act** and operates in compliance with the **Banking Regulation Act, 1949**, holding a valid license from the **Reserve Bank of India (RBI)** to conduct banking operations.

Despite its strong regional presence, KCB continues to rely on manual, branch-based operations with limited digital capabilities. To drive digital transformation, the bank is implementing a centralized Core Banking System (CBS) that will enable online customer services, real-time processing, and enhanced compliance.

2.2 Business Drivers:

1. Need for Digital Banking Access

Customers increasingly expect to access core banking services such as account viewing, fund transfers, and loan applications online, without visiting a physical branch.

2. Cost Reduction

Manual operations involve redundant paperwork, duplicated efforts, and inefficiencies that increase operational costs. This application will help automate workflows and reduce these overheads.

3. Operational Efficiency

Streamlining repetitive and manual processes will improve turnaround times, minimize human error, and allow staff to focus on value-added services.

4. Centralized Internal System

A unified system will provide real-time visibility and coordination across all branches, improving internal control and data consistency.

5. Customer Retention and Satisfaction

Offering faster, more convenient, and transparent services is essential to retain existing customers and attract new ones in an increasingly competitive banking environment.

6. Data-Driven Decision Making

A centralized database and reporting capability will allow the bank's leadership to make informed decisions based on accurate, timely insights.

3. Current Business Problem and Proposed solution:

3.1 Current Business Problem

Kongu Co-operative Bank currently operates through manual, branch-based systems that cause delays and inconvenience for customers. Key problems include:

- 1. Limited Access to Basic Services:** Customers must rely on nearby ATMs to check balances or get mini statements. Basic banking information is not accessible digitally.
- 2. Manual Fund Transfers:** To transfer funds, customers must visit the branch and fill out a Funds Transfer Request Form (for NEFT/RTGS/IMPS). The request is then manually processed by staff, often taking 1 to 2 working days.

3. **Cumbersome Loan Process:** Loan applications require physical submission of forms and documents. Approval is manual, and processing timelines are long due to document verification and eligibility checks.
4. **Lack of Real-Time Status and Transparency:** Customers have no way to track the status of their account opening, fund transfers, or loan applications. All updates require physical branch visits or follow-ups with bank staff.

3.2 Proposed Solution

To address the limitations of the current system, Kongu Co-operative Bank proposes to implement a **centralized, digital Core Banking System (CBS)**. This platform will streamline and automate banking operations, enabling customers to access key services without visiting the branch. Key solution features include:

1. **Digital Account Management:** Customers will be able to view account details, check balances, and download account statements online through a secure web portal, eliminating the need to visit ATMs or branches for basic inquiries.
2. **Online Fund Transfers:** Customers will be able to transfer funds via NEFT, IMPS, or RTGS from their account using the CBS platform, with processing time significantly reduced through automated workflows.
3. **End-to-End Loan Management:** The new system will allow customers to apply for loans online, upload required documents, and track the application status in real time. Bank staff can manage approvals, EMI schedules, and updates efficiently through the same platform.
4. **Real-Time Status Updates and Transparency:** Customers will receive real-time notifications and status tracking for all key processes—account creation, fund transfers, and loan applications—improving visibility and reducing the need for follow-ups.

4. Systems Impacted

4.1 Manual, Paper-Based Processes:

Core banking operations such as account opening, fund transfers, and loan handling currently managed through physical forms and registers will be replaced with digital workflows via the CBS.

4.2 Bank Website (New System):

A secure customer-facing web portal will be introduced as part of this

project to enable online banking functions like balance inquiry, fund transfers, and loan tracking.

5. Scope

5.1 In-Scope Activities

The following features and functionalities are within the scope of the Core Banking System (CBS) implementation:

Customer-Facing Features:

- 5.1.1 Account balance inquiry and transaction history
- 5.1.2 Downloading account statements (PDF/Excel)
- 5.1.3 Fund transfers (NEFT, IMPS, RTGS)
- 5.1.4 Beneficiary management
- 5.1.5 Loan application and Status
- 5.1.6 Loan repayment (EMI payments) **[Phase 2]**
- 5.1.7 Real-time status updates and notifications

Internal Staff Functions: **[Phase 2]**

- 5.1.8 User login, authentication (including OTP-based 2FA)
- 5.1.9 Manage user roles and profiles
- 5.1.10 Approve/reject account opening requests
- 5.1.11 Approve/reject loan applications
- 5.1.12 Update EMI schedule and loan status
- 5.1.13 Centralized user and transaction dashboard.

Administrative Functions: **[Phase 2]**

- 5.1.14 Admin dashboard for managing all users and branches
- 5.1.15 System settings and configuration
- 5.1.16 View system-wide reports and activity log

5.2. Out of Scope Activities

The following features are not included in the current phase of the Core Banking System (CBS) implementation and may be considered in future releases:

- 5.2.1 Mobile Banking Application
(Functionality will be available only via the web platform; no mobile app will be developed in this phase.)
- 5.2.2 Third-Party API Integrations
(Integration with external systems such as government databases, credit bureaus, or payment gateways is not included in this release.)
- 5.2.3 Legacy Data Migration
(Migration of historical customer and transaction data from physical records or existing tools is not planned in this phase)
- 5.2.4 Grievance Redressal & Customer Support
(A dedicated complaint handling module and customer service

executive workflows are excluded from the current scope and may be introduced in future phases.)

5. Stakeholders

Stakeholder	Role / Responsibility
Bank Customers	End-users who will access digital banking features like balance inquiry, fund transfer, loan application, and account statements.
Branch Manager	Reviews and approves account and loan applications; oversees branch-level operations.
Loan Officer	Verifies and processes customer loan applications, manages EMI schedules.
Admin (Super Admin)	Manages all users, assigns roles, oversees system settings, and has access to system-wide reports.
IT/Implementation Team	Develops, deploys, and supports the Core Banking System. Ensures the system meets technical and functional requirements.

6. As Is Vs To Be Process

6.1 As Is Process

6.1.1 Funds Transfer

Step 1: Customer visits the branch and fills a Funds Transfer Request Form (e.g., NEFT/RTGS)

Step 2: Submits the form to bank staff along with ID proof (if needed)

Step 3: Bank Staff verify, scan, record and forward the form for internal approval.

Step 4: Transaction is processed manually and completed within one working day.

6.1.2 Loan Application

Step1: Customer submits a Loan Application cum KYC Form with required documents.

Step 2: Bank staff verify and scan/upload documents to the local system.

Step 3: Loan Officer and Branch Manager manually reviews the application.

Step 4: Approval/rejection is communicated to the customer after several days.

6.1.3 Balance Inquiry / Mini Statement

Step 1: The customer visits the branch or ATM to check their account balance or recent transactions.

If visiting the branch, they can:

- Ask the bank staff to provide the balance or last few transactions,
- Use the passbook printing machine (if available),
- Or access the ATM within the branch premises for a mini statement.

Step 2: Bank staff may access the internal banking system to manually retrieve the account balance or transaction history if requested and provide a printout or verbal confirmation.

6.2 To Be Process:

6.2.1 Funds Transfer

Step 1: Customer logs in to the KCB website and selects the "Fund Transfer" option.

Step 2: Choose a transfer method (NEFT, RTGS, IMPS) or Quick Pay without adding a beneficiary.

Step 3: Enter transfer details and authenticates via OTP.

Step 4: CBS processes the transaction in real time.

Step 5: Confirmation is displayed instantly and sent via email/SMS.

6.2.2 Loan Application

Step 1: Customer logs in to the KCB website and selects "Apply for Loan".

Step 2: Enters loan details (type, amount, tenure) and uploads supporting documents.

Step 3: CBS routes the application to the Loan Officer for digital review.

Step 4: Loan Officer approves/rejects the application based on eligibility checks within the system.

Step 5: Decision and repayment details are communicated to the customer via email/SMS, with real-time status tracking available online.

6.2.3 Balance Inquiry / Mini Statement – To-Be Process

Step 1: Customer logs in to the KCB website.

Step 2: Select "View Account Balance" or "Download Statement".

Step 3: If the user chooses the statement period (e.g., last 10 transactions, custom date range).

Step 4: CBS instantly retrieves the data from the centralized system.

Step 5: Information is displayed on-screen with options to download in PDF/Excel format.

7. Functional Requirements

7.1 Module 1 – Login

- FR-1: The system shall allow all users to log in with valid credentials.
- FR-2: The system shall allow users to reset their password via mobile number or email.
- FR-3: The system shall allow customers to set up login credentials during first-time login.
- FR-4: The system shall enforce OTP-based two-factor authentication for all users.
- FR-5: The system shall allow users to log out securely.

7.2 Module 2 – User Management

- FR-6: The system shall allow all users to view their personal profile information.
- FR-7: The system shall allow customers to update personal details such as mobile number and email.
- FR-8: The system shall allow all users to change their login password.
- FR-9: The system shall allow the Admin to create, edit, and deactivate users, reset passwords, and assign roles/branches.

7.3 Module 3 – Account Management

- FR-10: The system shall display account details including account number, type, branch, IFSC, and opening date.
- FR-11: The system shall display current and available account balance in real time.
- FR-12: The system shall allow customers to download account statements in PDF/Excel format for a custom date range.
- FR-13: The system shall allow customers to re-submit KYC documents if rejected or due for renewal.

7.4 Module 4 – Transaction Management

- FR-17: The system shall allow customers to transfer funds to saved beneficiaries using NEFT, IMPS, or RTGS.
- FR-18: The system shall allow customers to make instant payments without adding a beneficiary (Quick Pay).
- FR-19: The system shall allow customers to add and manage beneficiaries for future transfers.
- FR-20: The system shall display transaction history with filtering by date, type, or status.
- FR-21: The system shall allow customers to download receipts for completed transactions.
- FR-22: The system shall display daily and per-transaction transfer limits.

7.5 Module 5 – Loan Management

- FR-23: The system shall allow customers to apply for loans by submitting details and supporting documents.
- FR-24: The system shall allow customers to view the status of their loan application.
- FR-25: The system shall display a detailed EMI schedule for approved loans.
- FR-26: The system shall allow customers to pay EMIs online.
- FR-27: The system shall allow Loan Officers or Branch Managers to approve or reject loan applications.
- FR-28: The system shall allow Loan Officers to update EMI details.
- FR-29: The system shall display the history of all loan applications submitted by the customer.

8. Non-Functional Requirements

Category	Requirement
Performance	The CBS must process transactions in under 3 seconds for 95% of operations.
Availability	The system should have 99.9% uptime during business hours.
Security	Must comply with RBI cybersecurity guidelines, including encryption of sensitive data in transit and at rest.
Scalability	Must support up to 50,000 concurrent users without degradation.
Usability	UI must be intuitive and accessible, following WCAG 2.1 AA standards.
Compatibility	Must work across latest versions of Chrome, Firefox, Edge, and Safari.
Maintainability	System updates should be deployable without more than 30 minutes of downtime.
Auditability	All transactions and administrative changes must be logged with timestamp and user ID.

9. Assumptions / Constraints / Risks

9.1 Assumptions

- Customers have access to the internet to use the CBS web platform.
- All customer KYC documents are valid and verifiable electronically.
- Internal staff are trained on using the new CBS system before launch.

9.2 Constraints

- Implementation must comply with Banking Regulation Act, 1949 and RBI guidelines.
- Integration with any payment gateways must follow NPCI standards for UPI/NEFT/RTGS.
- Project delivery timeline is limited to 6 months.

9.3 Risks

- Data Migration Risk – Legacy customer data may not be fully compatible with the new CBS.
- Cybersecurity Risk – Increased exposure to phishing and hacking attempts.
- Change Resistance – Internal staff may resist moving from manual to digital processes.

10. Success Metrics (KPIs)

Metric	Target
Transaction Processing Time	Reduce from 1 day to real-time.
Customer Satisfaction	Achieve 90%+ positive feedback within 6 months of launch.
Operational Efficiency	Reduce manual processing workload by 40%.
Loan Approval Time	Reduce from 5 days to 2 days or less.

11. Glossary

- CBS – Core Banking System
- KCB – Kongu Cooperative Bank
- KYC – Know Your Customer
- NEFT – National Electronic Funds Transfer.
- IMPS – Immediate Payment Service.
- RTGS – Real-Time Gross Settlement.
- NPCI – National Payments Corporation of India.
- WCAG – Web Content Accessibility Guidelines.